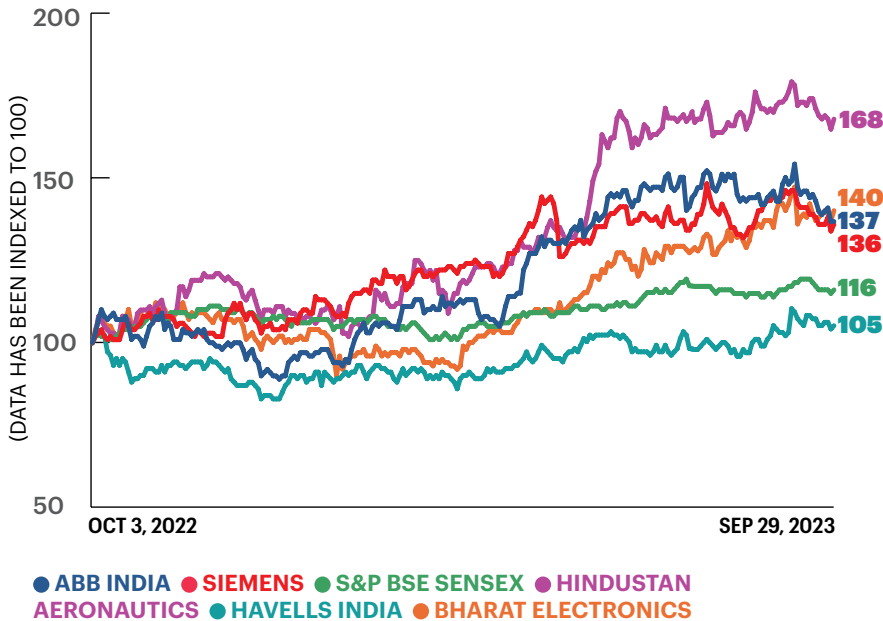


HEAVY MOVERS

- Most capital goods firms' stocks have given better returns than the Sensex
- Shares of PSUs HAL and BEL have gained the most during the study period



108 | SHARE PRICE MOVEMENT OF THE TOP 5 CAPITAL GOODS COMPANIES IN TERMS OF M-CAP COMPARED TO THE SENSEX SOURCE ACE EQUITY

While the digitalisation drive is certainly helping the capital goods industry, some companies are also taking the mergers and acquisitions route to gain a foothold in the market

from our assets to make more informed decisions. AI and analytics are then fed that data over a period of time, which results in productivity gains," he explains.

While the digitalisation drive is certainly helping the industry, some companies are also taking the mergers and acquisitions route to gain a foothold in various segments of the market. For instance, RHI Magnesita India, a player in the refractory business that had been growing organically, and primarily servicing its steel customers till recently, acquired Dalmia OCL in late-2022 to strengthen its non-core businesses. "To strengthen our position in the non-steel segment and cover segments like cement, glass and copper, among others, Dalmia OCL fit in to fulfil that ambition," says Parmod Sagar, the

company's MD & CEO.

According to him, there is now a new business vertical to service the refractory needs of the Indian iron-making industry. Soon after its acquisition of DOCL, the company acquired the refractory business of Hi-Tech Chemicals to boost its product portfolio not just in India, but also in the Middle East and Africa. Siemens, too, made a move in this aspect this May by picking up the electrical vehicles division of Mass-Tech Control, a company engaged in the design, engineering and manufacturing of a wide range of AC and DC chargers. "The transaction has been done with an aim to address the growing demand for EV charging infrastructure in India," says Mathur of Siemens.

Overall, there is little doubt about the India growth story. Con-

sequently, in the context of the capital goods story, RHI Magnesita's Sagar says he is optimistic about demand for the sector sustaining from segments like steel, cement and glass for some time to come. "The government's vision of becoming a \$7-trillion economy by 2030, along with steel production hitting 300 million tonnes, and the Atmanirbhar Bharat initiative, will continue to spur economic and infrastructure development in India," he adds.

By the looks of it, the script of the Indian capital goods industry looks solid, and now, a lot depends on execution. If that too falls into place, the capital goods story has all the markings of giving blockbuster performances over the next few years. **BT**

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